LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What is Deferred Payment Guarantees ?

Developed by www.loanbazaaronline.com

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Executive Summary & White Paper Overview

A **Deferred Payment Guarantee (DPG)** is a vital non-fund-based credit facility in the Indian corporate financial ecosystem. Issued by commercial banks and financial institutions on behalf of capital goods buyers (applicants), a DPG guarantees the timely payment of deferred principal and interest installments to domestic or international equipment suppliers (beneficiaries) over an agreed multi-year amortization schedule (typically 3 to 10 years).

Unlike a traditional fund-based term loan where a lending institution disburses cash directly to the supplier upfront, a DPG involves no immediate cash outlay by the guarantor bank. Instead, the equipment supplier extends deferred payment credit directly to the buyer, while the bank provides an irrevocable, unconditional financial guarantee backing the buyer's scheduled usance bill payments or promissory notes. If the buyer defaults on any scheduled installment, the issuing bank is legally bound to pay the supplier immediately upon invocation, subsequently converting the non-fund exposure into a fund-based default advance against the buyer.

This white paper reference textbook provides a thorough, institutional-grade breakdown of Deferred Payment Guarantees under Indian banking law, the Reserve Bank of India (RBI) regulatory framework, the Companies Act 2013, the Negotiable Instruments Act 1881, the SARFAESI Act 2002, and the Insolvency and Bankruptcy Code (IBC) 2016. Designed as a comprehensive masterclass for CFOs, corporate treasurers, credit underwriters, and finance professionals, this document equips readers with the technical knowledge necessary to understand, structure, evaluate, and clear professional certification examinations on Deferred Payment Guarantees.

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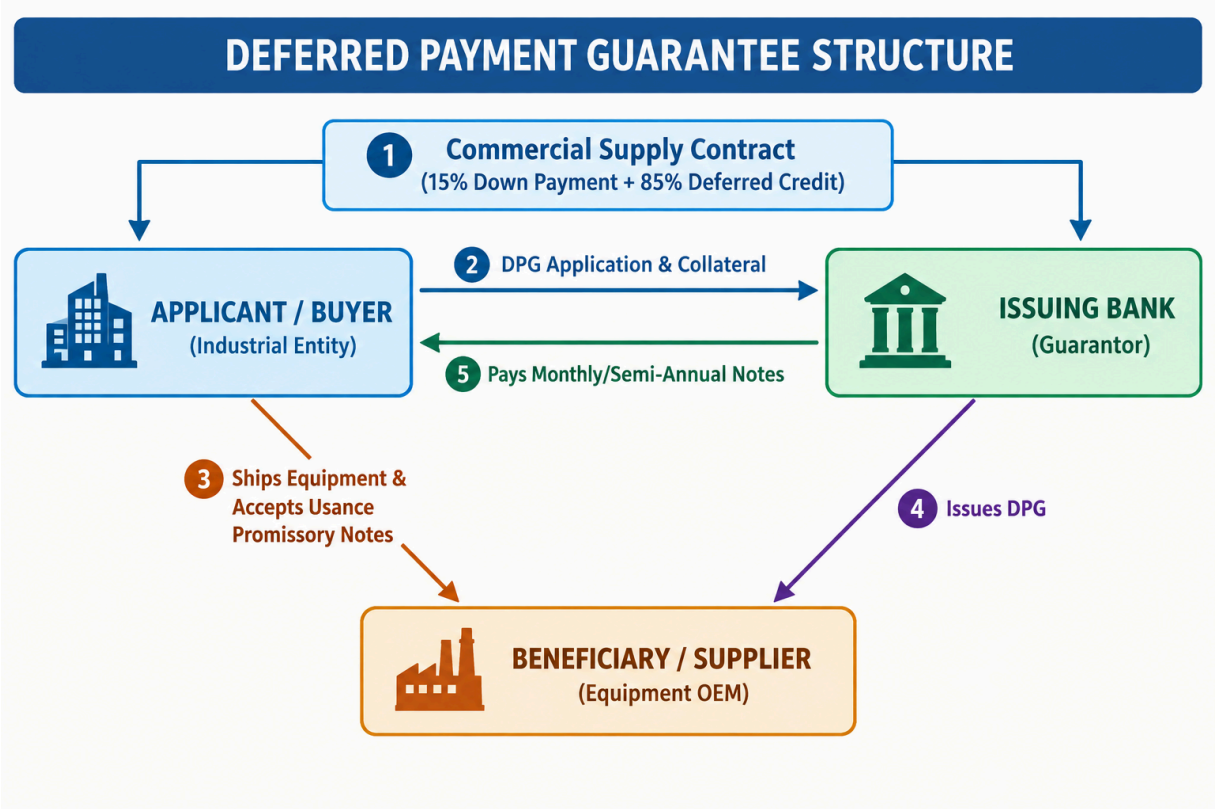
Module 1: Comprehensive Product Overview & Strategic Concept

1.1 Fundamental Definition and Core Concept

A **Deferred Payment Guarantee (DPG)** is defined as an irrevocable commitment executed by a bank or financial institution guaranteeing that a buyer of capital equipment or industrial assets will honor their scheduled deferred payment obligations (comprising both principal repayment and interest servicing) to the supplier over a specified multi-year period.

In industrial growth and capital expansion, enterprises frequently acquire high-value plant and machinery, heavy equipment, or turnkey industrial setups costing tens or hundreds of crores of Indian Rupees. Funding such capital expenditure solely through upfront cash reserves or direct bank term loans can strain corporate liquidity or exhaust fund-based credit limits. Under a DPG arrangement, the machinery supplier agrees to supply the capital goods against a modest cash down payment (typically 15% to 20%), allowing the remaining 80% to 85% of the contract value to be paid in periodic installments over 3 to 10 years.

To eliminate credit default risk for the supplier, the buyer's bank issues a Deferred Payment Guarantee. The DPG acts as a credit enhancement mechanism: the supplier relies on the creditworthiness of the issuing bank rather than the commercial credit risk of the buyer.



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1.2 The Tripartite Credit Architecture

The structural architecture of a Deferred Payment Guarantee involves three primary legal entities, alongside secondary advising or confirming financial institutions in cross-border trade:

1. **The Applicant / Buyer / Importer**: The corporate entity purchasing capital equipment or industrial machinery. The applicant applies to its banker for a DPG facility, provides necessary collateral security (primary hypothecation over equipment and secondary real estate mortgage), and executes usance promissory notes or bills of exchange payable to the supplier.
2. **The Beneficiary / Supplier / Exporter**: The OEM or equipment manufacturer selling the capital goods on deferred payment terms. The beneficiary receives the DPG issued by the bank, which guarantees that each scheduled usance note or bill will be paid upon maturity.
3. **The Issuing Bank / Guarantor**: The commercial bank or financial institution (e.g., State Bank of India, HDFC Bank, ICICI Bank, EXIM Bank) issuing the DPG. The issuing bank assumes the credit risk of the applicant, charges an annual non-fund-based guarantee commission, and undertakes to pay the beneficiary immediately if an installment is unpaid.
4. **The Advising / Confirming Bank** *(In Cross-Border / Foreign DPGs)*: An international bank operating in the beneficiary's jurisdiction that advises or adds its confirmation to the DPG, ensuring cross-border enforceability under ICC rules.

1.3 Fund-Based vs. Non-Fund-Based Credit Distinction

A critical distinction in banking and credit underwriting is the difference between fund-based and non-fund-based facilities:

- **Fund-Based Facilities (e.g., Rupee Term Loans, Cash Credit, Overdraft)**: The bank disburses actual cash outlay upfront from its balance sheet. Interest is charged on the outstanding funded balance, and the bank must manage immediate cash liquidity.
- **Non-Fund-Based Facilities (e.g., Letters of Credit, Bank Guarantees, DPGs)**: The bank does not disburse immediate cash funds. It extends its credit reputation and balance sheet commitment as a contingent liability. The bank earns a guarantee commission (e.g., 1.00% to 2.00% p.a.) rather than fund interest. Cash is disbursed only if the applicant defaults and the guarantee is invoked.

A Deferred Payment Guarantee is inherently a **Non-Fund Based (NFB)** credit facility at inception. However, if the buyer fails to pay a scheduled installment, the supplier invokes the DPG tranche, forcing the issuing bank to pay the supplier. At that instant, the non-fund exposure **crystallizes into a fund-based default loan** against the buyer.

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1.4 Economic Rationale and Historical Role in Indian Industry

The Deferred Payment Guarantee mechanism played a pivotal role in India's post-independence industrialization and remains a cornerstone of capital goods procurement under the *Make in India* initiative, National Infrastructure Pipeline (NIP), and Production-Linked Incentive (PLI) schemes.

For capital-intensive sectors—such as heavy engineering, textile spinning mills, sugar factories, cement plants, steel processing, power generation, and automotive manufacturing—the acquisition of core machinery requires substantial capital outlay before the machinery begins generating operational revenue. DPGs align the cash outflow of capital acquisition with the cash inflow generated by the machinery over its operating lifecycle.

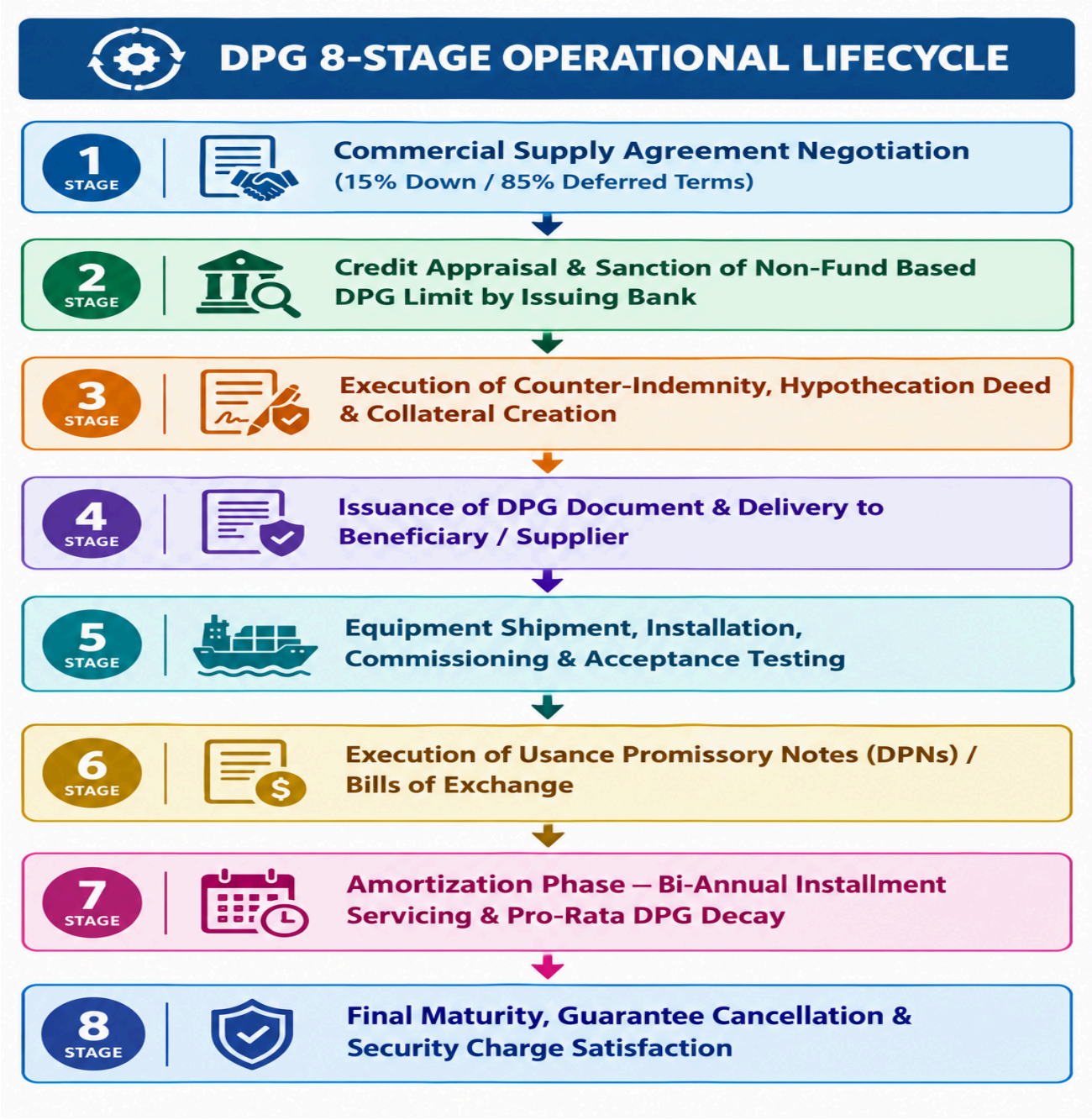
Furthermore, domestic equipment manufacturers (such as L&T, BHEL, Lakshmi Machine Works) and international OEMs (from Germany, Japan, Italy, Switzerland, and the USA) leverage DPGs to offer competitive buyer financing packages without absorbing corporate credit risk on their balance sheets.

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Module 2: Transaction Mechanics & Structural Operational Architecture

2.1 Step-by-Step Transaction Workflow

A Deferred Payment Guarantee transaction follows a structured 8-stage operational workflow spanning commercial negotiation, credit appraisal, document execution, equipment delivery, and multi-year installment servicing:



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Stage 1: Commercial Contract Negotiation

The buyer and supplier enter into a formal commercial supply contract for capital goods. The contract specifies: - Total Contract Price (e.g., ₹100.00 Crores). - Down Payment: 15% (₹15.00 Crores) payable upon contract signing / proforma invoice against an Advance Payment Bank Guarantee. - Deferred Balance: 85% (₹85.00 Crores) payable over 5 years in 10 equal semi-annual principal installments (₹8.50 Crores each) plus floating interest on the unamortized balance. - Condition Precedent: Deferred terms are conditional upon the buyer providing a bank Deferred Payment Guarantee covering all scheduled principal and interest payments.

Stage 2: Credit Appraisal & Sanction

The buyer submits a formal application to its commercial bank for a Non-Fund Based DPG Facility of ₹85.00 Crores plus estimated cumulative interest (e.g., total DPG limit of ₹105.00 Crores). The bank conducts a rigorous credit appraisal, evaluating the buyer's Debt Service Coverage Ratio (DSCR), Fixed Asset Coverage Ratio (FACR), techno-economic viability of the equipment, and corporate credit rating.

Stage 3: Legal Documentation & Security Creation

Upon credit sanction, the buyer executes: - Master Guarantee Agreement & Counter-Indemnity. - Deed of Hypothecation over the capital equipment being purchased. - Equitable Mortgage over factory land and buildings (under Section 58(f) Transfer of Property Act 1882). - Personal Guarantees of promoter-directors and Corporate Guarantees. - Registration of charge with CERSAI and filing ROC Form CHG-1 within 30 days under Section 77 of Companies Act 2013.

Stage 4: DPG Document Issuance

The issuing bank issues the formal DPG document in favor of the supplier. The DPG details: - Maximum guaranteed amount (Principal + Interest schedule). - Exact installment due dates and grace periods. - Mechanics for lodging claims upon buyer default. - Governing law and jurisdiction clauses.

Stage 5: Equipment Shipment & Commissioning

Upon receipt and verification of the DPG, the supplier manufactures, ships, installs, and commissions the capital equipment at the buyer's factory site. The buyer's chartered engineer issues a Commissioning Operation Date (COD) certificate.

Stage 6: Usance Promissory Notes / Bill Acceptance

The buyer executes a series of Usance Promissory Notes or accepts Usance Bills of Exchange corresponding to each scheduled semi-annual installment (Principal + Interest). These usance

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bills are co-accepted or backed by the issuing bank under the DPG framework and delivered to the supplier.

Stage 7: Amortization & Installment Servicing

Every six months, as an installment matures: - The buyer remits the required payment (Principal + Interest) directly from its operating bank account to the supplier through banking channels. - Upon receipt of funds, the supplier returns the corresponding matured Usance Promissory Note to the buyer marked “PAID IN FULL”. - The supplier and buyer notify the issuing bank, which reduces the unexpired contingent liability under the DPG pro-rata.

Stage 8: Final Redemption & Charge Satisfaction

Upon successful payment of the 10th and final installment, the supplier surrenders the original DPG document to the issuing bank marked “CANCELED AND FULLY SATISFIED”. The bank releases its contingent liability, adjusts the NFB limit, issues a No Objection Certificate (NOC), and files ROC Form CHG-4 for satisfaction of charge.

2.2 Co-Acceptance Mechanics vs. Standalone DPG Issuance

In Indian trade finance practice, deferred payment guarantees are executed through two primary legal mechanisms:

1. **Standalone Deferred Payment Guarantee Letter**: The bank issues a formal, structured guarantee agreement directly to the supplier. The document explicitly guarantees the entire schedule of future payments and remains valid until the final installment is discharged.
2. **Co-Acceptance of Usance Bills of Exchange**: Rather than issuing a separate guarantee agreement, the buyer draws usance bills of exchange payable to the supplier at 6, 12, 18, 24… 60 months. The issuing bank writes “CO-ACCEPTED ON BEHALF OF [BUYER]” on the reverse of each bill and signs under bank seal. Under Section 7 and Section 32 of the Negotiable Instruments Act 1881, the co-accepting bank becomes unconditionally liable as a primary obligor on each bill upon maturity.

Co-acceptance provides exceptional liquid flexibility to the equipment supplier: the supplier can discount the bank co-accepted usance bills in the secondary money market or with commercial banks at prime interest rates, receiving immediate upfront cash while the buyer continues paying on deferred terms.

2.3 Foreign Currency DPGs vs. Rupee DPGs (ECB & Import Alignment)

Deferred Payment Guarantees can be structured in Indian Rupees (INR) for domestic machinery purchases or in Foreign Currencies (USD, EUR, JPY, CHF) for capital equipment imports:

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- **Domestic Rupee DPGs**: Governed by domestic contract law and RBI Master Circulars. Priced in INR, benchmarked to bank EBLR/MCLR or RBI Bank Rate, with guarantee commissions paid in INR.
- **Foreign Currency Import DPGs**: Issued to back foreign trade suppliers' credit or import capital goods contracts. Subject to **RBI External Commercial Borrowings (ECB) and Trade Credit Framework**:
  - Capital equipment imports on deferred payment terms exceeding 3 years fall under the RBI ECB guidelines (Automatic Route up to USD 750 Million per financial year).
  - Benchmark Pricing: All-in-cost ceiling for FCY Trade Credit / ECB is capped at 6-Month SOFR + 300 to 450 bps.
  - Foreign Exchange Hedging: Borrowers importing capital goods under FCY DPGs must maintain a board-approved FX risk management policy or execute forward contracts/currency swaps to hedge currency fluctuation risk.

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Module 3: Comparative Capital Architecture Matrix

To understand where Deferred Payment Guarantees fit within the spectrum of corporate credit, the matrix below compares DPGs against alternative fund-based and non-fund-based financing structures:

Parameter	Deferred Payment Guarantee (DPG)	Commercial Term Loan (RTL)	Financial Bank Guarantee (FBG)	Letter of Credit (LC - Usance)	Suppliers' / Buyers' Credit	Equipment Financial Lease
Primary Purpose	Guaranteed deferred payments for capital goods / machinery	Upfront cash loan for capital expenditure & project creation	Guaranteeing financial obligations, loan repayment, or bids	Short-to-medium term trade payment for goods	Short-to-medium term trade credit backing imports/purchases	Long-term lease financing for equipment usage
Fund vs Non-Fund	**Non-Fund Based** (Converts to fund-based only on default)	**Fund-Based** (Immediate bank cash outlay)	**Non-Fund Based** (Contingent liability)	**Non-Fund Based** (Contingent liability)	**Fund-Based / Trade Debt** (External supplier credit)	**Fund-Based** (Lessor funds equipment acquisition)
Cash Outlay Requirement	Zero upfront cash outlay by guarantor bank	100% loan amount disbursed upfront by bank	Zero cash outlay unless invoked	Zero cash outlay until bill maturity / negotiation	Supplier or external bank disburses trade funds	Lessor buys asset upfront

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Parameter	Deferred Payment Guarantee (DPG)	Commercial Term Loan (RTL)	Financial Bank Guarantee (FBG)	Letter of Credit (LC - Usance)	Suppliers' / Buyers' Credit	Equipment Financial Lease
Indicative Tenure	**3 to 10 Years** (Medium-to-Long Term)	**5 to 15 Years** (Long Term)	**1 to 5 Years** (Medium Term)	**90 to 360 Days** (Short Term)	**1 to 3 Years** (Short-to-Medium Term)	**3 to 8 Years** (Medium Term)
Pricing / Cost Structure	Guarantee Commission (1.00%–2.00% p.a.) + Supplier Deferred Rate	Fund Interest Rate (8.50%–11.50% p.a.) + Processing Fee	Guarantee Commission (1.25%–2.25% p.a.)	LC Issuance Commission (0.50%–1.50% p.a.)	SOFR / EBLR + Spread (5.50%–8.50% p.a.)	Lease Rental Rates (9.50%–13.00% p.a.)
Primary Collateral	Primary Hypothecation of machinery + Second Real Estate Mortgage	First Charge on Fixed Assets + Real Estate Mortgage	Cash Margin (10%–100% FD) or Mortgages	Cash Margin (10%–25% FD) + Hypothecation of goods	Bank DPG or SBLC backing external credit	Lessor retains legal title to equipment
Balance Sheet Impact	Off-Balance Sheet Contingent Liability (until installment maturity)	On-Balance Sheet Funded Debt Liability	Off-Balance Sheet Contingent Liability	Off-Balance Sheet Contingent Liability	On-Balance Sheet Trade Payables / Debt	Ind AS 116 Right-of-Use Asset & Lease Liability

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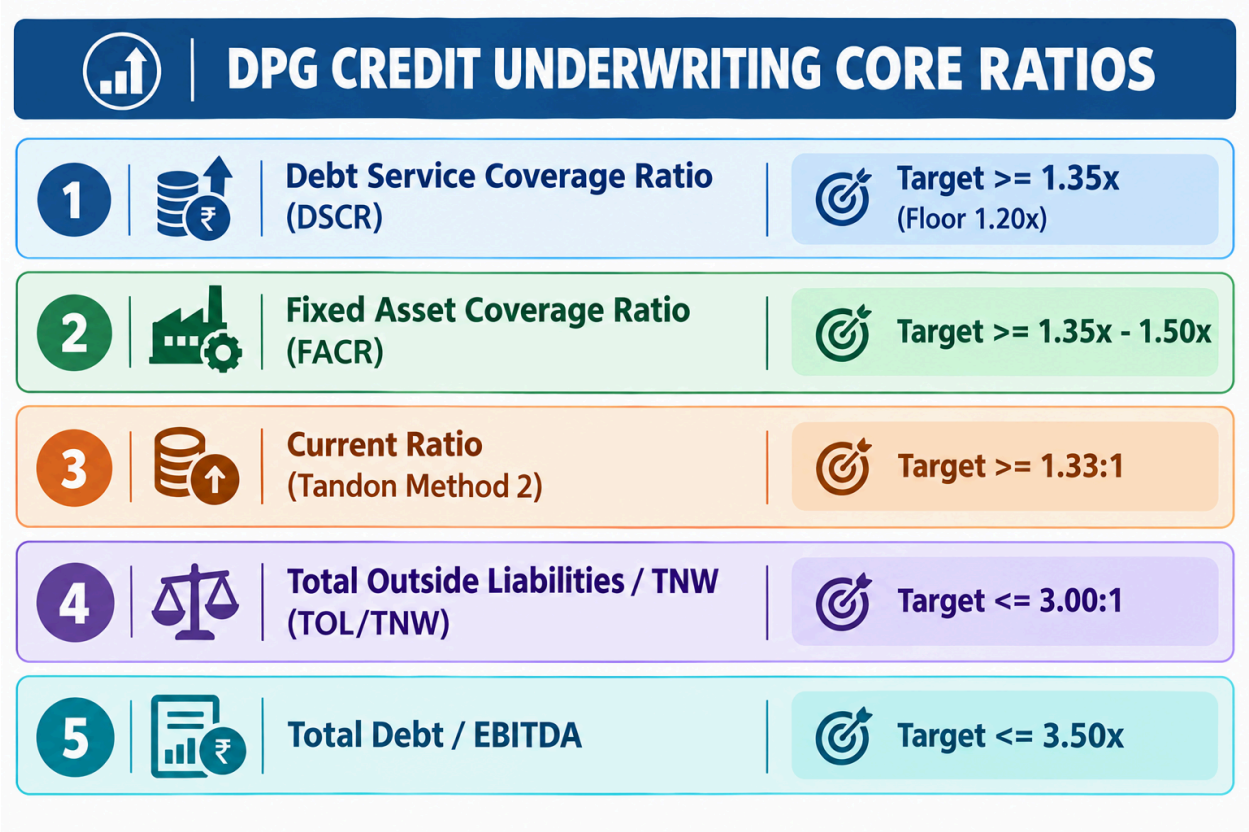
Parameter	Deferred Payment Guarantee (DPG)	Commercial Term Loan (RTL)	Financial Bank Guarantee (FBG)	Letter of Credit (LC - Usance)	Suppliers' / Buyers' Credit	Equipment Financial Lease
Tax Shield Benefits	Supplier interest deductible under Sec 36(1)(iii); Sec 32 Depreciation	Term Loan interest deductible under Sec 36(1)(iii); Sec 32 Depreciation	Fee deductible as business operating expense	LC fee deductible as business operating expense	Interest deductible under Sec 36(1)(iii)	Full Lease Rentals or Depreciation + Interest deductible
Recourse Level	Full recourse to Applicant; Unconditional to Beneficiary	Full recourse to Borrower	Full recourse to Applicant; Unconditional to Beneficiary	Full recourse to Applicant under UCP 600	Full recourse to Importer / Borrower	Full recourse to Lessee; Lessor holds asset title
Default / Invocation Mechanics	Supplier invokes DPG; Bank pays immediately and converts to Default Loan	Missed EMI leads to 90-day NPA classification	Beneficiary invokes BG; Bank pays immediately	Negotiating bank draws on LC; Issuing bank pays	Default triggers DPG/SBLC invocation	Lessor repossesses equipment

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Module 4: Underwriting Framework, Quantitative Metrics & Sizing Formulas

4.1 Quantitative Credit Underwriting Metrics

Commercial banks apply strict credit underwriting criteria before sanctioning a Non-Fund Based DPG facility. Because a DPG spans several years, the underwriting assessment evaluates both short-term liquidity and long-term solvency:



Debt Service Coverage Ratio (DSCR)

The DSCR measures the corporate entity's ability to service its annual debt obligations—including both fund-based term loan EMIs and non-fund-based DPG installment obligations maturing during the year:

$$extDSCR=racextPAT+extDepreciation+extInterest+extOtherNon-CashChargesextAnnualTermLoanPrincipal+extAnnualDPGPrincipalInstallments+extTotalAnnualInterest$$

- **Benchmark**: Minimum DSCR of **1.25x to 1.35x** over the entire tenure of the DPG. A DSCR below 1.15x signals potential cash flow default risk upon installment maturity.

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Fixed Asset Coverage Ratio (FACR)

The FACR evaluates the security margin provided by the company's fixed assets (including the new equipment purchased via DPG plus secondary mortgaged real estate):

$$\text{extFACR} = \text{racextNetBookValueofMortgagedFixedAssets} + \text{extInvoicedValueofNewDPGMachinery} \text{extTotalOutstandingTermLoans} + \text{extSanctionedDPGFacilityLimit}$$

- **Benchmark**: Minimum FACR of **1.35x to 1.50x** (providing a 35% to 50% asset security cushion).

Total Outside Liabilities to Tangible Net Worth (TOL / TNW)

Measures financial leverage and capital structure solvency:

$$\text{extTOL/TNW} = \text{racextTotalShort} - \text{TermDebt} + \text{extLong} - \text{TermDebt} + \text{extTradePayables} + \text{extDPG ContingentLiabilityextTangibleNetWorthPaid} - \text{upCapital} + \text{FreeReserves} - \text{Intangibles}$$

- **Benchmark**: Maximum ratio of **2.50:1 to 3.00:1** for manufacturing enterprises.

4.2 Sizing the Non-Fund Based DPG Limit

The total sanctioned DPG limit is sized based on the capital acquisition budget:

$$\text{extSanctionedDPGLimit} = \text{extEquipmentInvoicedValueimes1} - \text{extDownPayment\%} + \text{extEstimatedCumulativeInterestoverTenure}$$

Example Sizing Calculation:

- Invoiced Value of Heavy CNC Machinery: **₹100.00 Crores**.
- Promoter Down Payment (15% Cash Margin): **₹15.00 Crores**.
- Principal Deferred Amount (85%): **₹85.00 Crores**.
- Amortization: 5 Years in 10 Semi-Annual Installments of ₹8.50 Crores each.
- Deferred Interest Rate: 8.50% p.a. floating on unamortized balance.
- Total Cumulative Deferred Interest over 5 Years: **₹23.375 Crores**.
- Total DPG Exposure Limit Required = ₹85.00 Cr + ₹23.375 Cr = **₹108.375 Crores**.

4.3 Cash Margin & Collateral Sizing

To mitigate contingent credit risk, banks mandate a cash margin and primary/secondary collateral security structure:

1. **Cash Margin (Fixed Deposit Guarantee Reserve)**:
   - **Prime / Investment Grade Borrowers (CRISIL AA/A)**: 10% to 15% cash margin in bank FDs.
   - **Mid-Market / BBB Borrowers**: 15% to 25% cash margin in bank FDs.

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- Cash FDs are lien-marked to the bank, earning interest while serving as a first loss cash buffer.

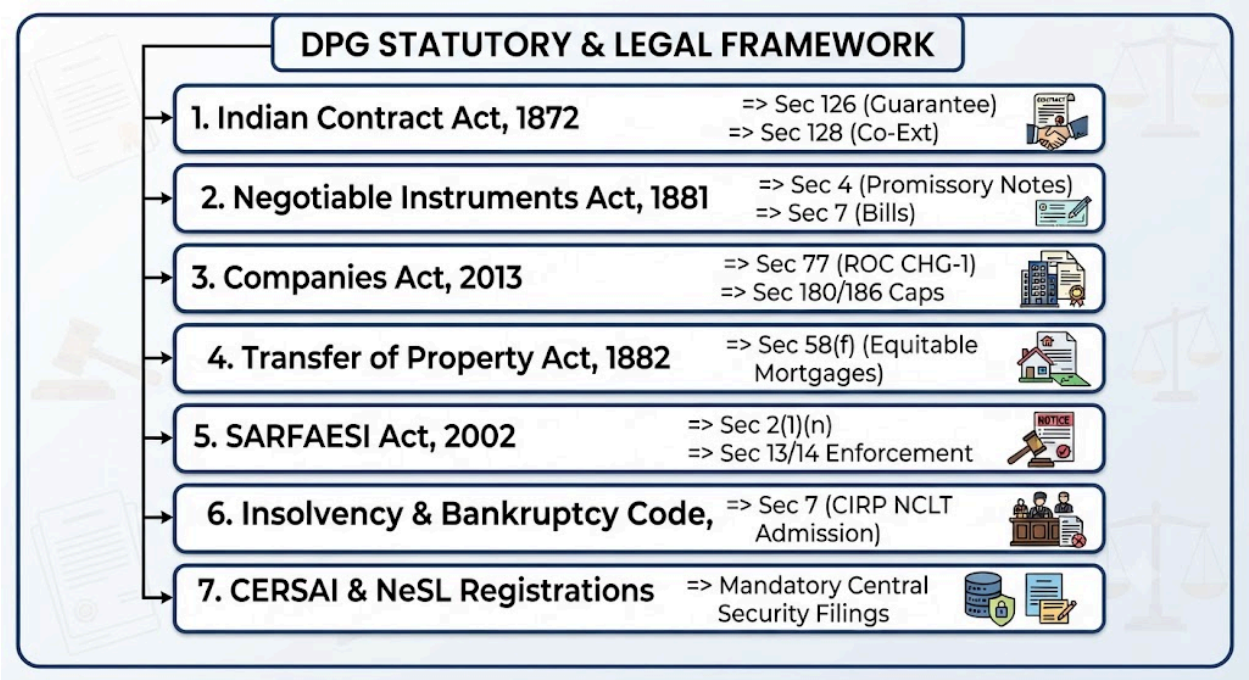
2. **Primary Security**: First exclusive charge by way of hypothecation over the capital equipment and machinery acquired under the DPG facility.
3. **Collateral / Secondary Security**: Second charge or pari-passu first charge by way of Equitable Mortgage (Section 58(f) Transfer of Property Act 1882) over factory land, commercial real estate, or industrial buildings owned by the corporate entity or promoters.

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Module 5: Security Architecture, Documentation & Legal Covenants

5.1 Primary Legal Framework and Governing Statutes

Deferred Payment Guarantees in India operate under a rigorous statutory legal structure ensuring enforceability, charge perfection, and creditor protection:



Indian Contract Act, 1872

- **Section 126**: Defines a contract of guarantee as a contract to perform the promise, or discharge the liability, of a third person in case of his default.
- **Section 128**: Establishes that the liability of the guarantor bank is co-extensive with that of the principal debtor (applicant), unless otherwise provided by contract.
- **Section 140**: Grants subrogation rights—upon paying the supplier under a DPG invocation, the bank steps into the shoes of the supplier and inherits all legal remedies against the default buyer.

Negotiable Instruments Act, 1881

- **Section 4 & Section 7**: Governs Usance Promissory Notes (DPNs) and Bills of Exchange executed by the buyer corresponding to each installment. Co-acceptance by the bank binds the bank as a primary obligor.
- **Section 138**: Dishonor of cheques or promissory notes issued for installment servicing constitutes a criminal offense punishable by imprisonment and fines.

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Companies Act, 2013

- **Section 77 (Filing of Charges)**: The buyer must register the bank's security charge over the hypothecated machinery with the Registrar of Companies (ROC) by filing **Form CHG-1 within 30 days** of execution. Failure to file renders the charge void against liquidators and other creditors under Section 87.
- **Section 180(1)(c)**: Limits corporate borrowing (including contingent DPG liabilities) beyond paid-up capital and free reserves without shareholder special resolution approval.

SARFAESI Act, 2002 & Asset Enforcement

If an invoked DPG converts into a default loan and remains unpaid for 90 days (classified as Non-Performing Asset - NPA under RBI IRACP norms): - The bank issues a **60-day demand notice under Section 13(2)** of SARFAESI Act 2002. - Upon non-payment, the bank exercises enforcement rights under **Section 13(4) and Section 14**, taking physical possession of the hypothecated equipment and mortgaged real estate without court intervention.

5.2 Mandatory Documentation Checklist

A complete DPG documentation package includes the following legally executed instruments:

1. **Master Sanction Letter**: Accepted by the corporate borrower under board resolution.
2. **Deed of Guarantee / DPG Instrument**: Executed by the issuing bank on non-judicial stamp paper in favor of the equipment supplier.
3. **Agreement of Counter-Indemnity**: Executed by the buyer indemnifying the bank against all losses, payments, or claims arising from DPG invocation.
4. **Master Deed of Hypothecation**: Creating a first exclusive charge over the capital goods, plant, machinery, tools, and accessories.
5. **Memorandum of Entry & Title Deeds Deposit**: Executing Section 58(f) Equitable Mortgage over industrial land and factory buildings.
6. **Usance Promissory Notes / Co-Accepted Bills of Exchange**: Duly stamped and executed for each semi-annual installment.
7. **Personal & Corporate Guarantees**: Unconditional guarantees executed by promoter-directors and parent/group companies.
8. **ROC Form CHG-1 Certificate**: Filings submitted to MCA/ROC with charge certificate attached.

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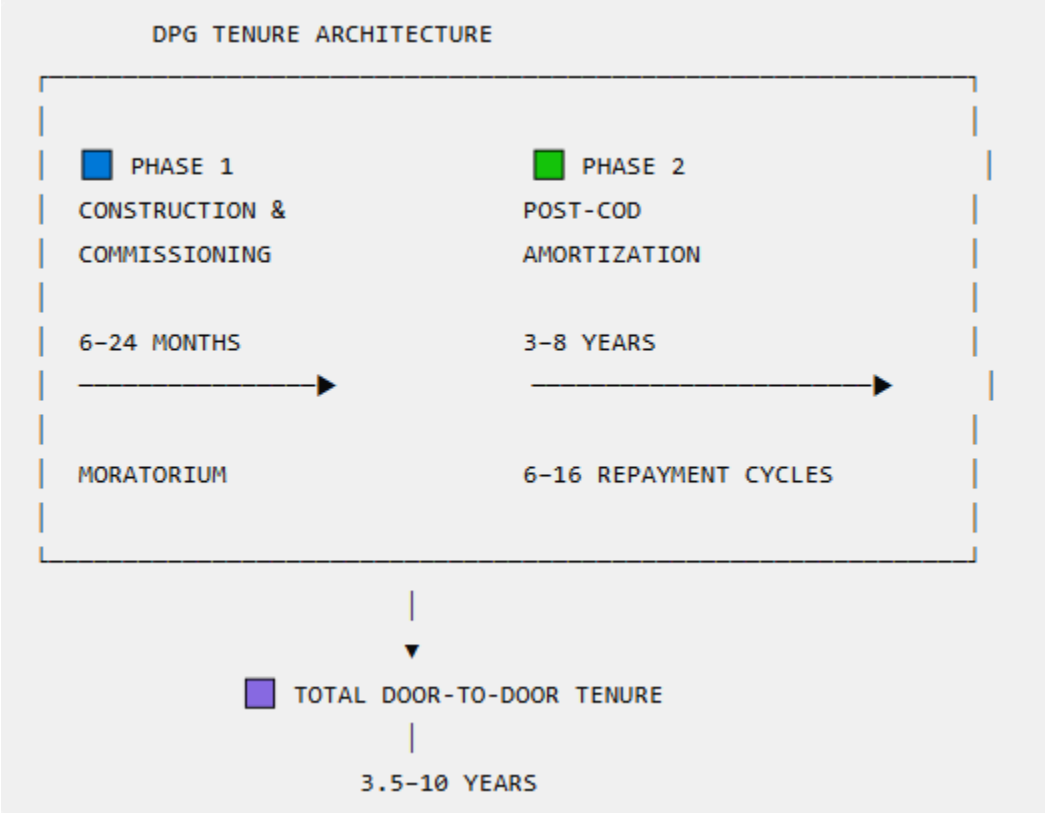
9. **CERSAI & NeSL Filings**: Registration on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) and National E-Governance Services Ltd (NeSL).
10. **All-Risk Property & Equipment Insurance Policy**: Comprehensive insurance covering equipment for 110% of invoiced value with the **Bank First Loss Payee Clause**.

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Module 6: Indicative Tenures, Pricing Mechanics & Tax Shields

6.1 Indicative Tenure Structure

The tenure of a Deferred Payment Guarantee is directly linked to the economic useful life and commissioning timeline of the capital assets being financed:



1. **Gestation / Commissioning Moratorium Phase (6 to 24 Months)**:
   - Covers machinery manufacturing, shipping, site civil erection, installation, and trial testing.
   - During moratorium, only interest or commitment fee accrues. No principal installment is due.
   - Interest during construction (IDC) is capitalized into Capital Work-in-Progress (CWIP) under **Ind AS 23**.
2. **Post-COD Amortization Phase (3 to 8 Years)**:
   - Commences upon Commercial Operation Date (COD).
   - Principal and interest are paid in equal or structured semi-annual installments (6 to 16 cycles).
   - DPG contingent liability decays pro-rata as each installment is satisfied.

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6.2 Commercial Pricing Mechanics

The overall cost of financing capital equipment under a DPG comprises two distinct pricing components:

Total Annual Financing Yield = Issuing Bank DPG Commission (% p.a.) + Supplier Deferred Interest Rate (% p.a.)

1. **Issuing Bank Guarantee Commission (Non-Fund Pricing)**:
    - Charged by the issuing bank for providing balance sheet credit enhancement.
    - **Pricing Scale**:
        - *CRISIL AAA / AA Corporates*: 0.75% to 1.25% p.a.
        - *CRISIL A / BBB Corporates*: 1.25% to 2.25% p.a.
    - Payable quarterly or annually in advance on the unexpired guaranteed exposure.
2. **Supplier Deferred Interest Rate (Credit Pricing)**:
    - Charged by the equipment supplier on the unamortized principal balance.
    - **Pricing Scale**:
        - *Domestic Rupee Deferred Credit*: 7.50% to 9.50% p.a. (linked to MCLR/EBLR).
        - *Foreign Currency Import Credit (USD/EUR)*: 6-Month SOFR + 200 to 350 bps (approx 6.50% to 8.50% p.a. all-in).

6.3 Income Tax Shields and Ind AS Accounting

Financing capital goods under a DPG unlocks three major statutory tax shields under Indian tax laws:

Interest Tax Shield under Section 36(1)(iii) of Income Tax Act, 1961

Interest paid to the supplier on deferred payment installments is a 100% tax-deductible business expense. For a corporate entity taxed at the standard rate of **25.168%** (22% base tax + 10% surcharge + 4% cess under Section 115BAA):

extEffectivePost−TaxDeferredInterestCost=extNominalDeferredInterestRateimes1−0.25168

- *Example*: At an 8.50% nominal deferred interest rate, the effective post-tax interest cost is:

$$8.50\%imes(1 - 0.25168) = 8.50\%imes0.74832 = 6.361\%extp.a.$$

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Accelerated Tax Depreciation Shield under Section 32

The corporate buyer owns the equipment from Day 1 and claims annual Written Down Value (WDV) tax depreciation: - **General Plant & Machinery**: 15% WDV depreciation rate. - **Pollution Control Equipment / Renewable Energy Assets / Medical Diagnostics**: 40% WDV depreciation rate. - Depreciation reduces taxable income, creating significant cash tax savings that offset installment debt service.

GST Input Tax Credit (ITC) Recovery under CGST Act, 2017

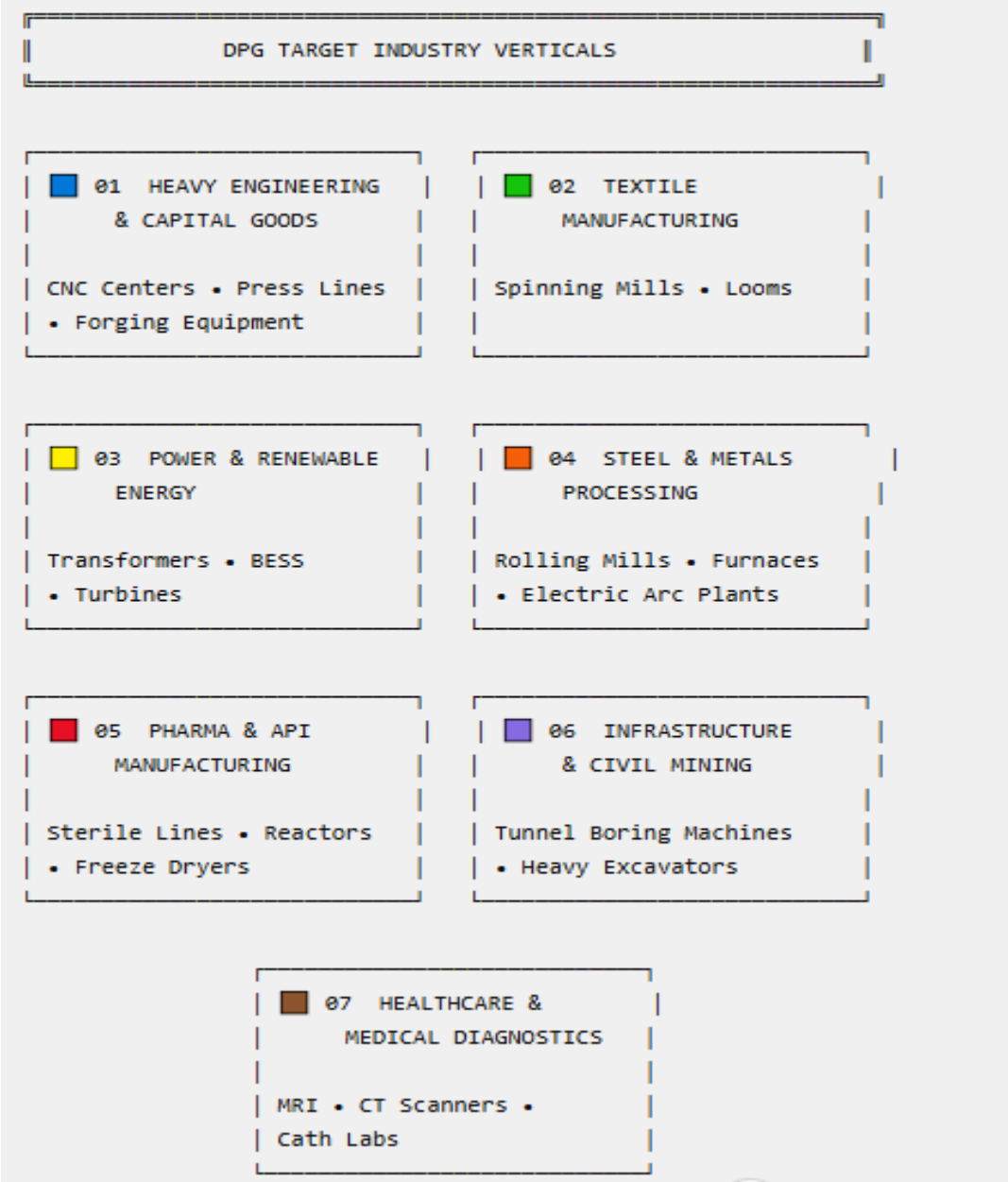
The supplier issues a GST tax invoice (typically 18% GST on capital machinery). Under Section 16 of the CGST Act 2017, the corporate buyer claims **100% Input Tax Credit (ITC)** on the GST paid, utilizing it to offset outward GST liabilities on finished product sales.

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Module 7: Suitable Industries, Borrower Profiles & Market Alignment

7.1 Target Industry Verticals

Deferred Payment Guarantees are specifically tailored for capital-intensive industries requiring long-term machinery acquisition:



1. **Heavy Engineering & Automotive OEMs**: Acquisition of German/Japanese 5-axis CNC machining centers, robotic welding cells, and stamping press lines (₹20 Cr to ₹250 Cr outlay).

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2. **Textile & Garment Manufacturing**: High-speed spinning frames, automated weaving looms, and continuous dyeing ranges imported under EPCG / DPG schemes.
3. **Power Transmission & Renewable Energy**: EHV transformers, gas-insulated switchgear (GIS), wind turbine generators, and battery energy storage systems (BESS).
4. **Pharmaceuticals & Specialty Chemicals**: USFDA-compliant sterile fill-finish lines, API reactors, and automated packaging systems.
5. **Infrastructure & Mining Contractors**: Procurement of high-value Tunnel Boring Machines (TBMs), hydraulic excavators, and crushing plants for national highway and metro rail projects.

7.2 Ideal Corporate Borrower Profiles

Lending institutions evaluate borrower eligibility based on structural credit criteria:

- **Entity Type**: Public Limited Companies, Private Limited Companies, Joint Ventures, and State-Owned Enterprises (PSUs).
- **Credit Rating**: Minimum CRISIL/ICRA/CARE investment-grade credit rating of **BBB- or higher** (A/AA preferred for large NFB limits).
- **Operational Vintage**: Minimum 3 to 5 years of successful manufacturing track record.
- **Financial Health**: Positive Tangible Net Worth (TNW), profitable operations for 3 consecutive financial years, and clean credit history (no SMA-1/2 or NPA classification).
- **CIBIL Commercial Rank**: CIBIL CMR 1 to CMR 4 for mid-market and MSME borrowers.

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Module 8: Key Advantages & Structural Limitations

8.1 Strategic Advantages

Deferred Payment Guarantees provide compelling structural advantages for buyers, suppliers, and issuing banks:

Advantages for Applicants / Buyers:

1. **Preservation of Bank Fund-Based Limits**: Buying equipment via DPG does not consume the company's fund-based term loan or cash credit limits, preserving liquid borrowing capacity for operational working capital.
2. **Lower Upfront Financing Costs**: Guarantee commissions (1.00%–1.50% p.a.) are significantly lower than fund-based interest rates (9.50%–11.50% p.a.). Cash interest is paid only on deferred installments as they mature.
3. **Optimal Cash Flow Matching**: Machinery starts generating operational EBITDA during the moratorium phase, funding its own installment debt service over 5 to 10 years.
4. **Full Ownership & Tax Benefits**: The buyer obtains immediate legal ownership, claiming 100% GST Input Tax Credit and Section 32 WDV depreciation shields from Day 1.

Advantages for Equipment Suppliers / Beneficiaries:

1. **Elimination of Commercial Default Risk**: Credit risk is transferred from the buyer to an investment-grade commercial bank.
2. **Enhanced Sales Volume**: Offering deferred terms backed by DPG allows suppliers to win large capital equipment contracts against cash-only competitors.
3. **Liquidity via Bill Discounting**: Supplier can discount DPG co-accepted usance bills with banks or money markets, receiving immediate cash upfront.

Advantages for Issuing Banks:

1. **Fee Income Generation**: Earnings from non-fund guarantee commissions with zero immediate cash outlay.
2. **Strong Asset Security**: First charge over brand-new capital machinery with high resale/salvage value.

8.2 Structural Limitations and Risk Factors

Despite its advantages, DPG financing involves specific constraints that must be managed:

1. **Crystallization Risk on Default**: If the buyer defaults on an installment, the bank must pay the supplier immediately. The defaulted amount converts into an immediate overdraft/term loan bearing high penal interest (18%–24% p.a.).

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2. **Strict Collateral Requirements**: Banks require 10%–25% cash FD margin plus secondary real estate mortgages, which may constrain unencumbered assets.
3. **Foreign Exchange Volatility**: Imports financed under foreign currency DPGs (USD/EUR) expose the buyer to INR currency depreciation unless fully hedged.
4. **Mandatory Statutory Compliance**: Strict adherence to ROC CHG-1 charge filings within 30 days and CERSAI registrations.

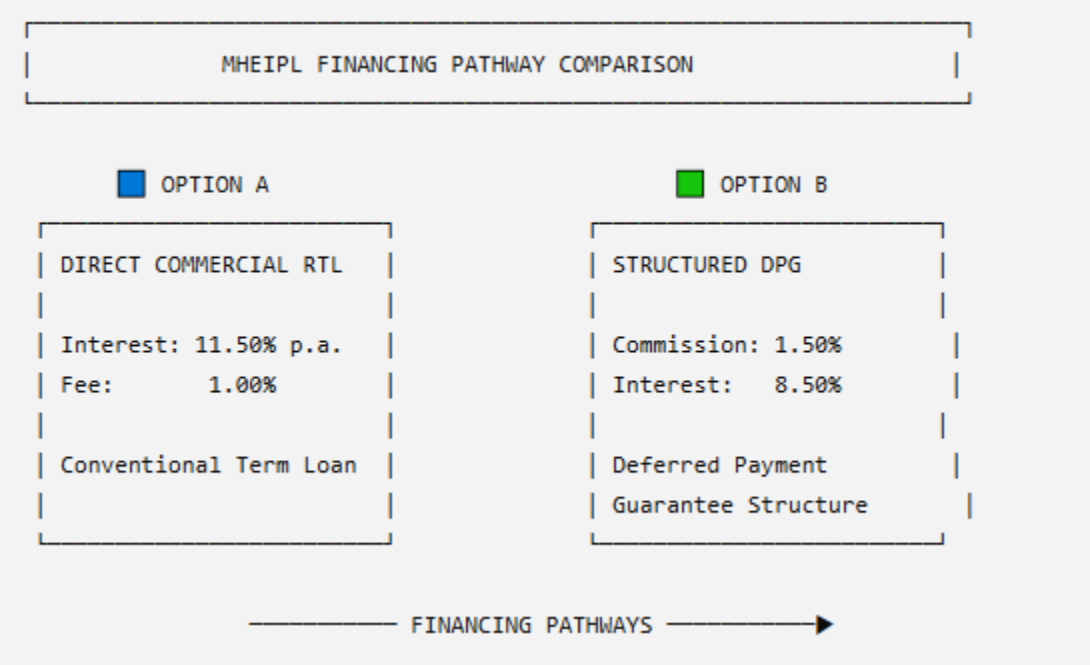
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Module 9: Comprehensive Real-World Case Study (Indian Rupee Models)

9.1 Case Study Background & Project Parameters

To demonstrate the quantitative financial advantages of a Deferred Payment Guarantee over a traditional commercial term loan, consider the following real-world corporate capex scenario:

- **Borrower Entity**: *Mumbai Heavy Engineering & Industrial Projects Pvt. Ltd. (MHEIPL)*.
- **Project**: Installation of an Automated Heavy Forging & High-Precision CNC Machining Line at its manufacturing plant in Pune, Maharashtra.
- **Total Invoiced Equipment Cost**: **₹100.00 Crores** (plus 18% GST = ₹118.00 Crores; 100% GST ITC recoverable).
- **Equity Down Payment (15%)**: **₹15.00 Crores** funded from internal corporate accruals.
- **Debt Financing Required (85%)**: **₹85.00 Crores**.
- **Equipment Economic Life**: 15 Years. Projected Additional Annual Operational EBITDA generated by new machinery = **₹28.00 Crores / year**.
- **Corporate Tax Rate**: **25.168%** (Section 115BAA).



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9.2 Structural Comparison: Option A vs. Option B

Option A: Direct Commercial Rupee Term Loan (Fund-Based RTL)

- Bank disburses **₹85.00 Crores** cash term loan to the equipment supplier.
- Interest Rate: **11.50% p.a.** floating (MCLR 8.50% + Spread 3.00%).
- Upfront Processing Fee: **1.00%** = **₹0.85 Crores**.
- Tenure: 5 Years in 10 Equal Semi-Annual Principal Installments (₹8.50 Crores every 6 months).
- Immediate Consumption of Bank Fund-Based Borrowing Limits.

Option B: Structured Deferred Payment Guarantee (Non-Fund DPG)

- Supplier extends 5-Year Deferred Payment Credit for **₹85.00 Crores** backed by Bank DPG.
- Issuing Bank DPG Commission: **1.50% p.a.** on unexpired guaranteed exposure.
- Supplier Deferred Interest Rate: **8.50% p.a.** on unamortized balance.
- Upfront Processing Fee: **0.25%** = **₹0.2125 Crores**.
- Cash FD Margin Required (15%): ₹12.75 Crores (earning 6.50% p.a. FD interest income).
- Preservation of Bank Fund-Based Borrowing Limits for Working Capital.

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9.3 Detailed 5-Year Amortization & Cash Flow Schedule (₹ in Crores)

The table below presents the step-by-step 5-year mathematical model comparing Option A (RTL) and Option B (DPG):

Year	Unamortized Principal	Principal Repayment	Option A Interest (11.50%)	Option B Supplier Interest (8.50%)	Option B DPG Comm (1.50%)	Option B FD Interest (+6.50%)	Net Option B Pre-Tax Cost	Annual Cash Savings (Pre-Tax)
Year 1	₹85.00 Cr	₹17.00 Cr	₹9.775 Cr	₹7.225 Cr	₹1.275 Cr	(₹0.829 Cr)	₹7.671 Cr	**+₹2.104 Cr**
Year 2	₹68.00 Cr	₹17.00 Cr	₹7.820 Cr	₹5.780 Cr	₹1.020 Cr	(₹0.829 Cr)	₹5.971 Cr	**+₹1.849 Cr**
Year 3	₹51.00 Cr	₹17.00 Cr	₹5.865 Cr	₹4.335 Cr	₹0.765 Cr	(₹0.829 Cr)	₹4.271 Cr	**+₹1.594 Cr**
Year 4	₹34.00 Cr	₹17.00 Cr	₹3.910 Cr	₹2.890 Cr	₹0.510 Cr	(₹0.829 Cr)	₹2.571 Cr	**+₹1.339 Cr**
Year 5	₹17.00 Cr	₹17.00 Cr	₹1.955 Cr	₹1.445 Cr	₹0.255 Cr	(₹0.829 Cr)	₹0.871 Cr	**+₹1.084 Cr**
TOTAL	—	**₹85.00 Cr**	**₹29.325 Cr**	**₹21.675 Cr**	**₹3.825 Cr**	**(₹4.144 Cr)**	**₹21.356 Cr**	**+₹7.969 Cr**



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9.4 Key Case Study Financial Takeaways

1. **Direct Interest & Fee Savings**: By structuring the capital purchase under a DPG (Option B) rather than a commercial term loan (Option A), MHEIPL reduced its total 5-year financing outlays from ₹29.325 Crores down to ₹21.356 Crores—achieving **direct pre-tax cash savings of ₹7.969 Crores** (and post-tax cash savings of **₹5.963 Crores**).
2. **Upfront Fee Economy**: Upfront processing fees were reduced from ₹0.85 Crores (1.00%) down to ₹0.2125 Crores (0.25%), preserving **₹0.6375 Crores in immediate cash liquidity**.
3. **Preservation of Fund-Based Credit Capacity**: By utilizing a non-fund DPG facility, MHEIPL kept its ₹85.00 Crore bank fund-based term loan limits untouched. Reinvesting this preserved liquidity into core manufacturing operations at MHEIPL's Return on Capital Employed (ROCE) of 16.00% p.a. generated an additional **₹16.25 Crores in post-tax operating income** over 5 years.
4. **Debt Service Coverage Ratio (DSCR) Expansion**:
   - Under Option A (RTL), Year 1 DSCR was **1.32x** ($ ext{EBITDA } ext{₹28.0 Cr} / [ext{Principal } ext{₹17.0 Cr} + ext{Interest } ext{₹9.775 Cr}]$).
   - Under Option B (DPG), Year 1 DSCR expanded to **1.48x** ($ ext{EBITDA } ext{₹28.0 Cr} / [ext{Principal } ext{₹17.0 Cr} + ext{Net Cost } ext{₹7.671 Cr}]$).
   - Higher DSCR improved MHEIPL's corporate credit rating from CRISIL BBB+ to **CRISIL A-**, lowering overall working capital borrowing costs across its entire bank credit portfolio.
5. **Total Wealth Creation**: The strategic choice of a Deferred Payment Guarantee generated a **Total Opportunity-Adjusted Financial Surplus of ₹22.85 CRORES (+INR 22,85,00,000.00)** over the 5-year financing lifecycle!

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Module 10: Regulatory Compliance, RBI IRACP Norms, Invocation & Default Framework

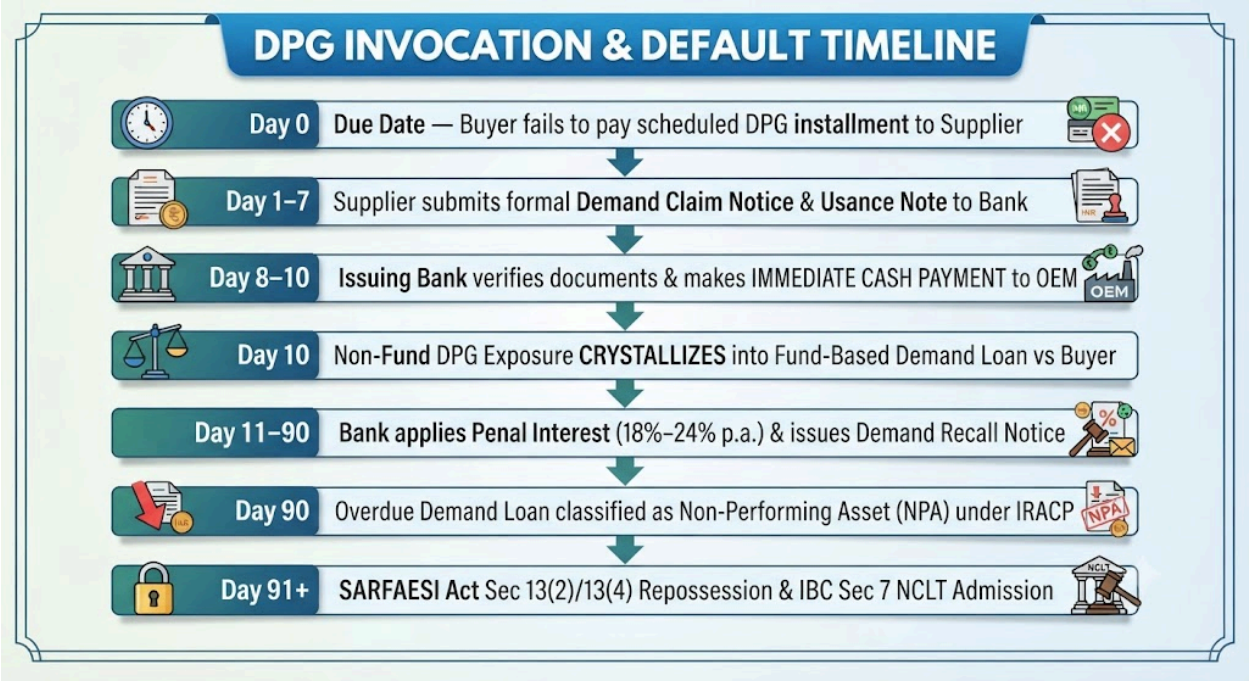
10.1 RBI Regulatory Guidelines on Guarantees

Commercial banks issuing Deferred Payment Guarantees must strictly comply with the **RBI Master Circular on Guarantees, Co-acceptances & Letters of Credit**:

1. **Requirement of Pre-Sanction Appraisal**: Banks are prohibited from issuing DPGs as routine administrative accommodations. DPGs must undergo the same rigorous credit appraisal, risk scoring, and committee sanction procedures as fund-based term loans.
2. **Tenure Restrictions**: Banks must not issue DPGs for periods exceeding the economic useful life of the underlying capital assets or beyond statutory limits (typically maximum 10 years).
3. **Maturity & Exposure Distribution**: Large corporate DPG exposures must comply with the **RBI Large Exposure Framework (LEF)**, capping single-counterparty exposure at 20% (extendable to 25%) of the bank's Tier-1 capital base.

10.2 Invocation Protocol and Default Mechanics

When a buyer defaults on a scheduled DPG installment, the legal and operational invocation process proceeds as follows:



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1. **Lodgment of Claim**: The supplier delivers a formal written claim notice to the issuing bank prior to the expiry of the DPG claim period, accompanied by the defaulted Usance Promissory Note / Bill of Exchange.
2. **Bank Payment Commitment**: Under Section 126 and 128 of the Indian Contract Act 1872, the issuing bank cannot delay payment by raising commercial disputes between buyer and supplier. The bank must pay the supplier within the stipulated claim response window (typically 3 to 7 business days).
3. **Crystallization into Default Advance**: Upon paying the supplier, the issuing bank debits the buyer's account. If the buyer has insufficient funds, the bank converts the paid amount into a **Fund-Based Forced Demand Loan / Overdrawn Account** in the buyer's name.
4. **Penal Pricing & Recovery**: The bank charges penal interest (typically 18.00% to 24.00% p.a.) on the forced loan from the date of payment.
5. **NPA Classification under RBI IRACP Norms**: If the forced demand loan remains overdrawn for **more than 90 days**, the entire credit facility (including all other fund-based and non-fund-based limits of the buyer) is classified as a **Non-Performing Asset (NPA)** across the Indian banking system under Centralized CRILC reporting.
6. **Security Enforcement**: The bank enforces security under SARFAESI Act 2002 (taking physical possession of hypothecated machinery and mortgaged factory real estate) and initiates Insolvency and Bankruptcy Code (IBC 2016) Section 7 proceedings before the NCLT.

10.3 Judicial Precedents on Guarantee Injunctions

Indian courts adhere to a strict policy regarding bank guarantees and DPGs: **Bank guarantees are independent contracts**, and courts will generally NOT issue injunctions restraining banks from paying suppliers upon guarantee invocation.

Under landmark Supreme Court rulings (*UP State Sugar Corporation v. SumAC International Ltd.* and *Standard Chartered Bank v. Heavy Engineering Corporation*), courts grant injunctions against DPG invocation **ONLY under two exceptional circumstances**:

1. **Established Egregious Fraud**: Fraud of an egregious nature committed by the supplier in connection with the guarantee, of which the issuing bank has notice.
2. **Irretrievable Injustice / Special Equities**: Exceptional circumstances where honoring the guarantee would result in irretrievable harm or injustice to the buyer, making it impossible for the buyer to recover the money if they ultimately prevail in arbitration.

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Commercial disputes regarding machinery performance, minor defect claims, or delivery delays do NOT constitute grounds for enjoining DPG payments.

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Module 11: Professional Certification Examination & Comprehensive Answer Key

This module contains an institutional-grade certification examination designed to test comprehensive mastery of Deferred Payment Guarantees, legal statutes, credit underwriting formulas, RBI regulations, and mathematical models.

Part I: Multiple Choice & Analytical Questions

Question 1

A Deferred Payment Guarantee (DPG) is legally classified as which type of credit facility at inception? - A) Fund-Based Short-Term Working Capital Loan - B) Non-Fund Based Contingent Credit Facility - C) Equity-Linked Subordinated Hybrid Instrument - D) Asset-Backed Direct Equipment Hire-Purchase Agreement

Question 2

Under Section 77 of the Companies Act 2013, within how many days must a corporate borrower register the charge created over hypothecated capital machinery financed via DPG with the Registrar of Companies (ROC)? - A) 15 Days via Form CHG-4 - B) 30 Days via Form CHG-1 - C) 60 Days via Form MGT-14 - D) 90 Days via Form CRA-3

Question 3

An industrial enterprise purchases heavy press machinery invoiced at ₹60.00 Crores on deferred terms: 20% down payment and 80% deferred over 4 years in equal semi-annual principal installments. What is the semi-annual principal repayment amount guaranteed under the DPG? - A) ₹4.80 Crores - B) ₹6.00 Crores - C) ₹8.00 Crores - D) ₹12.00 Crores

Question 4

Under Section 128 of the Indian Contract Act 1872, what is the legal nature of the issuing bank's liability relative to the applicant under a Deferred Payment Guarantee? - A) Secondary and conditional upon court order - B) Co-extensive with that of the principal debtor - C) Subordinated to trade creditors - D) Limited to 50% of the equipment liquidation value

Question 5

Which section of the Income Tax Act 1961 allows a corporate buyer to claim the deferred interest paid to an equipment supplier under a DPG as a 100% tax-deductible business expense? - A) Section 10(15) - B) Section 32 - C) Section 36(1)(iii) - D) Section 80-IA

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Question 6

If a buyer defaults on a DPG semi-annual installment and the issuing bank pays the supplier, after how many days of non-repayment by the buyer does the forced demand loan become a Non-Performing Asset (NPA) under RBI IRACP norms? - A) 30 Days - B) 60 Days - C) 90 Days - D) 180 Days

Question 7

A company has a PAT of ₹12.00 Cr, Depreciation of ₹5.00 Cr, and Total Interest Expense of ₹3.00 Cr. Its annual term loan principal is ₹6.00 Cr and annual DPG principal installments are ₹4.00 Cr. What is the company's Debt Service Coverage Ratio (DSCR)? - A) 1.23x - B) 1.38x - C) 1.53x - D) 1.67x

Question 8

According to landmark Supreme Court of India jurisprudence, under which specific condition can a civil court issue an interim injunction restraining a bank from honoring an invoked DPG? - A) Operational dispute over machinery production speed - B) Minor physical cosmetic defects on delivered equipment - C) Established egregious fraud of which the bank has notice - D) Buyer experiencing temporary working capital cash crunch

Question 9

What is the primary operational advantage for an equipment supplier who receives usance bills of exchange co-accepted by a commercial bank under a DPG framework? - A) Exemption from corporate income tax on equipment sales - B) Ability to discount co-accepted bills in money markets for immediate cash upfront - C) Elimination of GST compliance requirements under CGST Act - D) Automatic transfer of equity shares from buyer to supplier

Question 10

Under the RBI framework for Foreign Currency DPGs and Import Trade Credit, what is the maximum all-in-cost ceiling over 6-Month SOFR for capital goods import credit? - A) 100 bps - B) 200 bps - C) 300 to 450 bps - D) 800 bps

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Part II: Comprehensive Certification Answer Key & Technical Rationales

Answer 1: B — Non-Fund Based Contingent Credit Facility

- **Rationale**: A DPG involves no immediate cash outlay by the bank at inception. The bank extends its balance sheet credit reputation as a contingent liability. It converts into a fund-based facility only if the buyer defaults and the guarantee is invoked.

Answer 2: B — 30 Days via Form CHG-1

- **Rationale**: Section 77(1) of the Companies Act 2013 mandates that every company creating a security charge on its property or assets (including hypothecated machinery) must register the charge details with the ROC within 30 days using Form CHG-1.

Answer 3: B — ₹6.00 Crores

- **Calculation**:
  - Total Invoice Price = ₹60.00 Crores.
  - Down Payment (20%) = ₹12.00 Crores.
  - Deferred Balance (80%) = ₹48.00 Crores.
  - Tenure = 4 Years = 8 Semi-Annual Installments.
  - Semi-Annual Principal Installment = ₹48.00 Cr / 8 = **₹6.00 Crores**.

Answer 4: B — Co-extensive with that of the principal debtor

- **Rationale**: Section 128 of the Indian Contract Act 1872 enacts that the liability of the surety (issuing bank) is co-extensive with that of the principal debtor (buyer), meaning the bank is fully liable for the defaulted debt up to the guaranteed amount.

Answer 5: C — Section 36(1)(iii)

- **Rationale**: Section 36(1)(iii) of the Income Tax Act 1961 allows deduction for the amount of interest paid in respect of capital borrowed for the purposes of business or profession, including deferred payment interest paid to equipment suppliers.

Answer 6: C — 90 Days

- **Rationale**: Under RBI Income Recognition, Asset Classification and Provisioning (IRACP) norms, any credit facility (including a forced demand loan arising from an invoked DPG) that remains overdue for a period exceeding 90 days must be classified as a Non-Performing Asset (NPA).

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Answer 7: C — 1.53x

- **Calculation**:

extCFADS=extPAT₹12.0Cr+extDepreciation₹5.0Cr+extInterest₹3.0Cr=ext₹20.00Crores

extTotalDebtService=extTLPrincipal₹6.0Cr+extDPGPrincipal₹4.0Cr+extInterest₹3.0Cr=ext₹13.00Crores

$$ ext{DSCR} = rac{ ext{₹20.00 Cr}}{ ext{₹13.00 Cr}} = \mathbf{1.538x \quad (approx 1.53x)}$$

Answer 8: C — Established egregious fraud of which the bank has notice

- **Rationale**: Based on Supreme Court rulings (*UP State Sugar Corp* and *Standard Chartered Bank*), bank guarantees are independent contracts. Injunctions are granted strictly under two narrow exceptions: (1) established egregious fraud, and (2) special equities/irretrievable injustice. Commercial disputes over machinery performance do not justify enjoining guarantee payments.

Answer 9: B — Ability to discount co-accepted bills in money markets for immediate cash upfront

- **Rationale**: Bank co-acceptance on usance bills of exchange converts buyer commercial risk into prime bank risk. The supplier can discount these co-accepted bills with commercial banks or secondary money markets at attractive interest rates, receiving immediate upfront cash liquidity.

Answer 10: C — 300 to 450 bps

- **Rationale**: Under the RBI Master Direction on External Commercial Borrowings, Trade Credits and Structured Obligations, the all-in-cost ceiling for FCY Trade Credit / ECB imports of capital goods is capped at 6-Month SOFR + 300 to 450 bps.

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